

Consider a simple dining fork. You can get a normal metal fork for about \$1. Conversely, you can purchase engraved sterling silver forks for upwards of \$50 apiece. Clearly, having a fork to eat your meals with, rather than trying to eat with your hands, is money well spent. But it's worth asking whether the fancier fork will give you fifty times better function or fifty times more joy than the normal fork. For most people, the answer is no. This type of thinking can then be applied to all spending decisions.

Think about the typical American family's spending. The doctors, lawyers, and executives tend to occupy the highest socioeconomic tier. Most people in that tier tend to live a similar lifestyle. Go one step down, and you will find those who make an income in that range tend to live a similar lifestyle. We don't have a formal system in our society that tells us how we should live, but we take these cues from the people we perceive to be in our socioeconomic class or the ones that we strive to be in. Most live in similar houses in comparable neighborhoods. They drive the same types of cars, wear similar clothes, and take the same types of vacations.

Does it really cost ten times more for one person to be happy than another because their income is ten times higher? In a word,